BLOCK 6

GLOBALISATION

BLOCK INTRODUCTION

This block is on **Globalistaion**.

It has three units, i.e., Unit 13 - **Multilateral Trading System: Development and Challenges**, Unit 14 – **Regional Trading Agreements** and Unit 15 – **India and Multilateral Trading System**.

Unit 13 provides the understanding of the history and present status of multilateral trading system in terms of GATT, WTO rounds. WTO negotiations have failed in certain aspects in the past and hence the unit proceeds towards explaining the reasons of failed negotiations. At the end, a way forward is provided.

Unit 14 throws light on the regional aspect of trading agreements. It explains the basic characteristics of such agreements and then discusses the types of regional trading agreements, preferential trading arrangements, free trade area and customs union to name a few. For better understanding of such agreements, a brief history of the evolution of regional agreements is also presented in the unit. The relevance of such regional agreements has been explained through gains (static and dynamic) received from such agreements. To move further, the equilibrium structure of regional trading agreements has been discussed in terms of horizontal expansion, vertical expansion and simultaneous expansion.

Unit 15 provides us with the understanding of how India is placed in these multilateral trading systems. Basically, this unit explains the agreements of which India is an integral part e.g., Asia-Pacific Trade agreement, ASEAN-India free trade area, SAFTA. Apart from these agreements, the unit highlights the contribution of India in WTO and how India has transformed itself with the change of GATT towards WTO regime. Agriculture sector in terms of subsidies and other policy initiatives in context of trade has been discussed at the end of the unit.

UNIT 13 MULTILATERAL TRADING SYSTEM: DEVELOPMENT AND CHALLENGES*

Structure

13.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain multilateralism;
- present the history and evolution of GATT;
- discuss the issues and negotiations of the Uruguay round of negotiations;
- list the achievements of the Uruguay round of negotiations;

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- discuss the various WTO rounds of negotiations;
- elucidate the changing nature of WTO negotiations;
- identify the reasons for the failure of the Doha round of WTO negotiations;
- analyze the relationship between regionalism and multilateralism; and
- discuss the future prospects of multilateralism.

13.1 INTRODUCTION

The establishment of the General Agreement on Tariffs and Trade (GATT) in 1947 heralded the advent of a multilateral trading system in the world economy. Before that, there were instances of economic cooperation among nations (for example, the bilateral agreement between Belgium and Luxembourg in 1921); however, such agreements were predominantly regional in nature. Multilateralism can be broadly defined as an understanding between multiple countries (three or more according to the definition proposed by Robert Keohane) to achieve a common goal. In this unit we would stick to the idea of multilateral trade liberalization and economic cooperation as the common goal.

We start with a brief discussion of the GATT and its chronological phases. Then we spend some time understanding the nuances of the Uruguay Round of GATT negotiations, the birth of the World Trade Organization and the achievements of the Uruguay Round. The next section is dedicated to the important rounds and ministerial conference of the WTO negotiations. We would then move on to understand the drawbacks of the multilateral negotiations and the reasons for the failure of the WTO rounds, particularly the Doha round. Towards the end, we would introduce the debate over whether regionalism acts as the "stumbling blocs" or "stepping stones" to multilateralism and try to analyze the way forward for multilateralism.

13.2 GENERAL AGREEMENT ON TARIFFS AND TRADE

After World War II, the United States emerged as the economic and political superpower and became proactive in creating a new international economic system. However, the major bone of contention that continued between the USA and the UK was preferential treatment to trading partners. Agreement between the two was reached with the formulation of the "Charter for the International Trade Organisation". According to the Charter, it was agreed that existing preferential agreements would be excluded from the "general rule", but the members must, by no means, increase trade restrictions and over time should negotiate with each other to not only reduce the restrictions but eliminate them altogether. The only condition under which trade restrictions could be imposed was to overcome balance-of-payment difficulties. The Economic and Social

Council of the United Nations called for a conference to establish the International Trade Organisation (ITO). Eighteen countries held four meetings during October 1946 and March 1948 and the Charter for an ITO was signed by 53 nations in March 1948.

The General Agreement on Tariffs and Trade (GATT) emerged as a by-product of the negotiations meant for the formulation of the ITO Charter. The idea was that, once the Charter comes into existence, GATT would automatically expire. The GATT was signed by 23 countries on October 30, 1947, during one of the meetings of the preparatory committee for the ITO held in Geneva, and entered into force on January 1, 1948.

The GATT was signed to establish a rules-based world trading system that would facilitate mutually advantageous trade. Baldwin (2016) identifies four phases of GATT based on the timing of GATT Rounds.

Phase 1 (1947 – 1960): The first phase of GATT rounds began with substantial tariff reduction in the 1947 inaugural Geneva Round. However, the previous rounds considered details of rules and accessions such as those of Germany (1951) and Japan (1955) and not tariff reduction. Moreover, tariffs were not the main trade hindrance to international trade in the 1950s. Instead, restrictions remaining from wartime, along with state trading and inconvertible currencies, were the binding constraints.

Phase 2 (1960 – 1972): The second phase of the GATT rounds was triggered by the European regional trade liberalization. The Dillon Round (1960-61) dealt with the tariff concessions European members had to make to other GATT members in compensation for the formation of their customs union. The Kennedy Round (1963-1967) was basically an effort by the United States, Japan and other large exporters to compensate for the trade diversion ensuing out of the European customs union. There was substantial reduction in tariffs in the developed nations by 1967. This was due to both GATT and non-GATT steps like elimination of tariffs across much of Europe, and the US-Canada Auto Pact of 1965. This was the phase when both regionalism and multilateralism thrived simultaneously. However, tariffs in low-income nations did not fall since GATT rules excused them from reciprocally cutting their tariff in GATT talks. This is an exception to the non-discrimination principle called "Special and Differential Treatment" for developing-nation members.

Phase 3 (1973 – 1979): This phase also witnessed simultaneous advancement in regionalism and multilateralism. The Tokyo Round of GATT coincided with the expansion of the European Union. Several political and economic factors emerged soon after the launch of the Tokyo Round of negotiations. Developed countries experienced economic downturn and increasing difficulties with their balance of payments. Rising unemployment and inflation led them to think about bringing back protectionist trade policies and, as a result, trade liberalization seemed impossible and the negotiations almost reached a standstill.

Consequently, the developed countries agreed to focus on making world trade fairer rather than freer. It was recognized that tariffs were only one factor influencing international trade and put non-tariff measures in the spotlight of the negotiations. The negotiations on agriculture presented the greatest difficulty with the US and the EEC (European Economic Community) differing considerably at the onset. However, by July 1977 both parties reconciled their major differences regarding market access and subsidies. The Swiss formula, a mathematical (non-linear) formula which would cut high tariffs to a greater extent than lower tariffs, was adopted by the major participants and applied to a wide range of products. It was decided that most of the tariff cuts would be implemented in eight equal annual installments. Despite these reductions in tariff and non-tariff barriers, the Tokyo Round of negotiations fell short of expectations for the developing economies.

Phase 4 (Mid 1980s): In 1986, GATT members launched the Uruguay Round. The United States and Canada initiated a bilateral FTA (free trade agreement). The EU expanded to include Spain and Portugal while launching the Single Market Program. Effective tariffs fell gradually in the developed nations, mostly due to regional trading agreements rather than the multilateral negotiations. The developing nations also initiated regional trading agreements (RTAs) like MERCOSUR (Brazil, Argentina, Paraguay, Uruguay) and the South African Customs Union (SACU). Thus, this phase predominantly saw tariff reductions by developing countries – both with their regional trading partners and with the rest of the world.

13.3 THE URUGUAY ROUND

The Uruguay round was launched at Punta del Este, Uruguay, in September 1986. It ultimately led to the creation of the World Trade Organization (WTO). The WTO officially commenced on 1 January 1995 under the Marrakesh Agreement, signed by 123 nations on 15 April 1994, replacing the GATT.

13.3.1 The Negotiations and the birth of the WTO

In November 1982, a major new negotiation was intended at a ministerial meeting of GATT members in Geneva which stalled on agriculture and ended up in a failure. After four years of negotiations, the round was launched in September 1986, in Punta del Este, Uruguay. The negotiating agenda included almost every outstanding trade policy issues. Two years later, in December 1988, ministers met again in Montreal, Canada. The deadlock continued and the officials met again in April, 1989 at Geneva. Some concessions on market access for tropical products, aimed at assisting developing countries, were made. Further, a streamlined dispute settlement system and the Trade Policy Review Mechanism came into existence.

The ministers met once more in Brussels, in December 1990. But they disagreed on how to reform agricultural trade and decided to extend the talks. This time the multilateral negotiations were almost on the verge of collapsing. However, amount of technical work continued in the background leading to the first draft of a final legal agreement. This draft "Final Act" was compiled by Arthur Dunkel, the then GATT director-general, and tabled in Geneva in December 1991. The text fulfilled every part of the Punta del Este mandate, with one exception. It did not contain the participating countries' lists of commitments for cutting import duties and opening their services markets. The draft became the basis for the final agreement. Negotiations continued for the next two years. Apart from agriculture, services, market access, anti-dumping rules and the proposed creation of a new institution became the major points of disagreement, particularly between the US and the EU.

In November 1992, the US and the EU settled most of their differences on agriculture in a deal known informally as the "Blair House accord". By July 1993 the "Quad" (US, EU, Japan and Canada) announced significant progress in negotiations on tariffs and market access. The negotiations continued till 15 December 1993 till every issue, including market access for goods and services, was resolved. Finally, on 15 April 1994, the deal was signed by ministers from most of the 123 participating governments at a meeting in Marrakesh, Morocco and the World Trade Organization (WTO) came into existence.

13.3.2 Achievements of the Uruguay Round

According to the World Trade Report (2007), "the amount of ground covered by the Uruguay Round was impressive: twenty-five thousand pages detailed all aspects of the Agreement". The ten-page WTO Charter, that precedes the document, provides an "umbrella that embraces all parts" and "establishes the WTO as international organization and defines its functions and structure". Further, it contains four annexure –

Annex 1: the three major agreements, namely on goods (GATT 1994 and eighteen related agreements), services (GATS and Annex 1 B), and trade-related aspects of intellectual property rights

Annex 2: the Dispute Settlement Understanding

Annex 3: the Trade Policy Mechanism

Annex 4: four Plurilateral Agreements that only apply to those Members who signed them

The major achievement of the Uruguay Round in terms of tariff is that the developed countries agreed to cut their tariffs on industrial goods from an average of 6.3% to 3.8%, with most of the cuts to be phased in over five years starting from 1 January, 1995. Another major achievement was the increase in bindings of tariffs by all parties. Measured by the number of bound product lines, developed countries increased their percentage from 78% to 99%, transition economies from 73% to 98%, and developing economies from 21% to 73%. This increase was in some measure because all tariffs on agricultural goods were bound. The high percentage of bound tariffs culminated in a world trading system that is more stable and predictable.

The Uruguay Round was the first time that the multilateral trading system succeeded in covering agricultural trade in a substantive manner (World Trade Report, 2007). The programme for liberalizing agriculture was set for ten years. The approach was segmented into three categories – market access, domestic support and export subsidies. All agricultural tariffs were bound.

Another major achievement of the Uruguay Round was the Agreement of Textiles and Clothing. All the parties agreed to remove all quantitative barriers in this sector in the coming ten years.

Agreement on Safeguards provided more stringent rules on the temporary use of safeguard measures as well as dealing with compensation issues. In addition, it eliminated the use of so-called “grey-area” measures, such as voluntary export restraints (VERs). For the first time a definition of subsidies was established, and clearer rules and procedures were developed.

The new rules on anti-dumping further clarified the rules on the determination of dumping, the use of anti-dumping measures and causality between dumping and injury. Procedures for initiating and conducting anti-dumping investigations and implementation of anti-dumping measures were elaborated.

The Dispute Settlement System underwent a major overhaul in the Uruguay Round. All trade disputes between members were to be handled by the Dispute Settlement Body under the New Agreement with a more structured process and stricter deadlines to ensure prompt dispute settlement.

The Trade Policy Review Mechanism (TPRM) was introduced as an instrument to review trade policies and practices of WTO Members and thereby to contribute to improved adherence to WTO rules through greater transparency. Each review consists of two documents – a policy statement prepared by the government under review, and a detailed report written independently by the WTO Secretariat (World Trade Report, 2007).

Two very important results of the Uruguay Round were the establishment of the General Agreement on Trade in Services (GATS) and the Agreement on Trade-Related Intellectual Property Rights (TRIPS). The GATS was introduced for a freer and fairer trade in services among the WTO signatories. The GATS distinguished between four modes of services trade: cross-border trade (Mode 1), consumption abroad (Mode 2), commercial presence abroad (Mode 3), and movement of natural persons (Mode 4). The TRIPS Agreement covers copyright and related rights, trademarks including service marks, geographical indications including appellations of origin, industrial designs and patents. The Agreement is comprised of three main features – substantive intellectual property standards, domestic enforcement provisions and dispute settlement.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Briefly discuss the four phases of GATT.

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2) Explain how was WTO created and why?

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3) Highlight any three achievements of the Uruguay round.

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13.4 THE WTO ROUNDS

In this section, we will briefly discuss the different ministerial conferences and rounds of negotiations that occurred after the formation of the WTO.

13.4.1 The Singapore Ministerial Conference

The First WTO Ministerial Conference was held in Singapore during 9-13 December, 1996. Though the talk of a new round was already in the air (Chile was calling for the initiation of discussions to prepare for a new round of negotiations on agriculture), neither the Singapore Ministerial Conference, nor the Ministerial Round of Geneva were directly associated with the launch or conduct of the Doha Round.

The most important aspect of this ministerial conference is that it initiated discussions on what was later christened as the Singapore issues. It initiated debates on labour standards and the implementation of the Uruguay Round agriculture and textile agreements. Achievement of this conference included the near-completion of the Information Technology Agreement, adoption of the Comprehensive and Integrated Plan of Action to assist least-developed countries (LDCs) and the signing of a cooperation agreement with the International Monetary Fund.

There were differences among the developed and developing nations from the beginning in the WTO negotiations. Though some nations tried to bridge these gaps, the member nations predominantly clubbed together in a North-South fashion on nearly all the issues.

The four issues which were initially proposed by Sir Leon (England) were –

1) Information Technology Agreement and the telecommunications negotiations
2) Financial services
3) Picking up of new subjects like investment and competition
4) Labour standards and environmental protection

However, the issues (Singapore Issues) that prevailed were –

1) Investment
2) Government procurement
3) Competition policy and
4) Trade facilitation

Labour was the most controversial of all the issues. Most of the ministers had expressed some views on this issue at the Marrakesh Conference in 1994. However, not much had changed between that valedictory GATT ministerial and this inaugural WTO ministerial. Both the International Labour Organization (ILO) and the Organisation for Economic Co-operation and Development (OECD) had taken up the issue of trade and labour standards in between. However, this labour issue was not settled until the ministers decided on collaboration between ILO and WTO. On the one hand, the developed countries wanted to ensure legal compatibility between the multilateral environmental agreements (MEAs) and the WTO system. On the other hand, developing countries raised concerns over "green protectionism". Malaysia, for example, pointed out that the indiscriminate use of labelling schemes was instrumental in undermining developing countries' exports. Other developing nations proposed that the best means of addressing labour and the environment is indirect – through greater economic growth rather than direct instruments that may be abused for protectionism. Despite these divisions, the ministerial declaration took a more accommodating approach to the environment than it did to labour issues. The ministers agreed to establish the Committee on Trade and Environment as a permanent body of the WTO.

The Uruguay Round had earlier failed to meet the members' expectations on the investment issue. Dissatisfaction regarding the Trade-Related Investment Measures (TRIMs) led the developed nations to pursue a Multilateral Agreement on Investment in the OECD. Though negotiations were still underway at the time of the Singapore Ministerial Conference, they collapsed two years later.

The issue of competition policy was more complex. Countries failed to chalk out a single, accepted definition of the subject. It culminated with the formation of the GATS and the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS Agreement). Both the agreements contained provisions relating to fair conditions of competition and international cooperation to facilitate the control of anticompetitive practices.

13.4.2 Ministerial Conference of Geneva

The Ministerial Conference of Geneva in May 1998 followed the Singapore Ministerial Conference. It was mainly aimed at celebrating the 50th anniversary of multilateral trading system. The developing countries, led by India, opposed to the idea of a new round of negotiations before a thorough review of the outcome of the Uruguay Round. The developing nations argued that they could still not meet the obligations undertaken in the Uruguay Round. The Cairns group (a group of 20 agricultural exporting countries composed of Argentina, Australia, Bolivia, Brazil, Canada, Chile, Colombia, Costa Rica, Guatemala, Indonesia, Malaysia, New Zealand, Pakistan, Paraguay, Peru, the Philippines, South Africa, Thailand, Uruguay, and Vietnam) insisted on the elimination of agricultural subsidies as a precondition for a new round.

A "semaphore system" or the "boxes" of agricultural support was devised by the Uruguay Round negotiators (see Table 13.1). These boxes referred to the "colour-coding of support programmes according to their degree of distortion and hence their status under the Agreement on Agriculture's scheme of commitments and restrictions". The Red box, though a purely theoretical construct, depicted the subsidies that members are prohibited from offering. The Blue and Green boxes contained the exempt forms of support. In between, the Amber box referred to the zone of maximum commitment.

Table 13.1: The Semaphore System of Agricultural Production Subsidies

	Definition	Examples	Uruguay Round Commitments
Red box	Prohibited policies that are illegal.	No forms of domestic support are currently in the red box.	Not allowed.
Amber box	Non-exempt, trade-distorting policies that are subject to review and reduction over time.	Market price support, direct payments and import subsidies.	*De minimis* supports were allowed up to certain limits; caps were set on the support of members that historically had above *de minimis* levels, which were then subject to reduction by 20 per cent for developed members over five years and by 13.3 per cent for developing members over ten years.
Blue box	Exempt forms of support, including payments made in conjunction with production-limiting programmes.	Production is required to receive the payments, but the actual payments do not relate directly to the current quantity of that production.	No limits.
Green box	Exempt policies that are not subject to limitations.	"Decoupled" payments not linked to production decisions, research or training, pest and disease control, inspection services, marketing and promotion services, certain food aid etc.	No limits.

Source: The History and Future of the World Trade Organization, WTO (2013).

The European Commission (EC) refused to that and, along with Japan, stressed upon issues related to trade and investment and trade and competition. Several weeks of negotiations could not break the deadlock. As a result, the Seattle Ministerial Meeting in 1999 could not agree on an agenda. This marked an unprecedented challenge to the multilateral trading system.

13.4.3 The Doha Round

The Doha Round, also known as the Doha Development round, was launched at the 4th ministerial conference in Doha, Qatar in November 2001. It was predominantly aimed at making globalization pro-poor in nature through removal of agricultural subsidies. It covered a whole array of issues like market access in agriculture and manufactured goods, trade in services, TRIPS, trade and investment, trade and competition, transparency and government procurement, trade facilitation, WTO rules, dispute settlement, trade and environment, electronic commerce, small economies, trade, debt and finance, transfer of technology, special and differential treatment, and implementation-related issues and concerns. However, some of these issues were dropped from the negotiations. Till date, these rounds of negotiations are not closed, and disagreements still linger. It was even proposed to "officially kill" the round as the Doha negotiations have stalled. Though some less contentious issues such as trade facilitation and removal of trade barriers against exports from the LDCs (least developed countries) were negotiated successfully at the Bali Round of 2013, individual members have shifted their stance (the round has lasted well over a decade) under the ever-changing global economic environment.

13.4.4 The Bali Round

The last ministerial meeting was held at Bali, Indonesia in December 2013. As discussed earlier, the member countries had agreed to a limited agreement consisting of a multilateral agreement on trade facilitation, an agreement for the reduction of lowering barriers to exports from LDCs and a four-year peace clause (Article 13 of the World Trade Organization's Agreement on Agriculture). This peace-clause, insisted by India, was meant to shield public stockholding programs for food security in developing countries with the promise to find a permanent solution to the problem before the expiry of this peace clause. This agreement was to be ratified in July 2014. However, India had a change of government in May 2014 and the new government had the view that "the peace-clause was not good enough and the permanent solution to the public stockpiling for food security must be reached simultaneously with the signing of the remainder of the agreement" (Bhagwati et al, 2014).

13.4.5 The Nairobi Round

This ministerial conference was held at Nairobi, Kenya in December 2015. To protect the developing nations from the market volatility, the members decided on 'Special Safeguard Mechanism' (SSM) for developing countries. As per this mechanism the developing countries were allowed to increase tariffs on agricultural products temporarily in case of high imports or fall in price. The objective behind this SSM was to mitigate the distortions in agriculture trade and the price volatility risks. We can say that SSM acted as a trade remedy tool. This ministerial conference also looked at the agricultural export subsidies. The members took a historic decision of eliminating the agricultural export subsidies. It was a significant reformatory step for agriculture trade. This levels the playing field for exporters of agricultural products as it eliminated any possibility of trade distortion due to absence of subsidies. In particular, the poor farmers were to stand at benefit.

13.4.6 The Geneva Round

This was the second time when the ministerial conference took place in Geneva (first time it was held in 1998) in June 2022. After the negotiations among delegations, the 'Geneva Package' was adopted. It is a package of agreements which include ministerial declaration on emergency response to food insecurity, ministerial decisions on World Food Programme (WFP), response to COVID -19 and preparedness for future pandemics, agreement on trade-related aspects of intellectual property rights, E-commerce Moratorium and Work Programme, Agreement on Fisheries Subsidies.

To protect global fish stocks, a multilateral agreement has been passed to control harmful subsidies for the next four years on illegal, unreported and unregulated fishing. However, the artisanal fishing and traditional farmers would not face any restrictions under this agreement. A binding decision to excuse the food purchases by UN under the WFP for humanitarian purposes, from any export restrictions was also taken. The importance of food trade in context of global food security was emphasised and the WTO members issued a declaration that they would avoid bans on food exports keeping the domestic food security under consideration. WTO had first imposed custom duties on electronic transmissions in 1998. E-commerce transactions, which include digitally traded goods and services are now very common unlike during 1998. The developing countries lose a huge potential tariff revenue from the imports of digital products. Given the financial consequences of the moratorium, India has asked the WTO to review the extension of the moratorium. To ease the process of manufacturing and access of COVID-19 vaccines, the WTO members have temporarily waived the intellectual property patents on Covid-19 vaccines without the consent of patent holder for 5 years.

13.5 REASONS FOR FAILURE OF WTO NEGOTIATIONS

Baldwin (2016) points out a set of external and internal reasons for this failure of the multilateral trading system. We discuss such reasons in this section.

13.5.1 Internal Reasons

The internal reasons predominantly refer to the changes in the functioning of the multilateral trade negotiations that took place in the WTO vis-à-vis the GATT. During the GATT negotiations, multilateral negotiations involved the Quad (the United States, the European Union, Japan and Canada). They bargained over tariff cuts among themselves and allowed the developing-nations to enjoy the benefits of such freer trade. In contrast to that, the WTO negotiations were based on the requirement of binding tariff cuts and other policy commitments from all but the poorest members. This led the developing member nations to voice their disagreement in unison during the Doha Rounds. They united to object to the provisions that threatened their domestic interests. Thus, the only North-North negotiations under the GATT were replaced by North-South negotiations under the WTO. The underlying interests were vastly different, making the negotiations way more complicated.

13.5.2 External Reasons

1) ***Lost dominance of the advanced economies***: This happened predominantly due to two reasons. First, as discussed earlier, the Quad (the United States, the European Union, Japan and Canada) dominated the world economy. The Quad accounted for two-thirds of world imports. However, with the emergence of the developing the nations, this share reduced drastically to only half of world imports. Second, the number of member countries engaged in the multilateral framework had grown significantly. This shifted the power within the multilateral structure. Since 1986 over 70 developing nations had joined and half of them joined after the formation of the WTO. China, one the most prominent economic powers in the world, joined the WTO only in 2001. Now, as discussed earlier, such shifting in power and the very structure of the WTO had made negotiations much more complex in nature.

2) ***Regionalism***: Regionalism began much before the World Wars, with Belgium clubbing up with Luxembourg in 1921. Post-World War II, formation of the BENELUX (Belgium, the Netherlands and Luxembourg) announced a new era of regional economic cooperation. However, as discussed in detail later in Unit 14, regional trading blocs proliferated particularly after 1993. Now, the question is what has regionalism too with the WTO negotiations? The answer is simple. Regional economic co-operations among countries shifted more weight towards small bloc formation rather than multilateral co-operation. In most cases, regional

trading agreements (RTAs) involve deeper degrees of cooperation among the member states than mere tariff reduction. In fact, Baldwin (2016) argues that "the rise of regionalism probably made it harder to conclude the Uruguay Round".

3) ***Unilateral tariff reductions by developing countries***: As Ethier (2011) points out, the new wave of regionalism, the form of regional economic cooperation that started from the mid-1980s, is very different from that before. Ethier (2011) calls it "Contemporary Regionalism". This form of regionalism involves one or more small countries competing in terms of reforms to link up with a large country. The key is inflow of foreign capital to these small developing capital scarce nations. The smaller countries would go for unilateral tariff liberalization (exactly what India did in 1991) and other economic reforms in the domestic fronts to attract foreign capital. Moreover, staying outside any RTA increases the cost for the country as more members join that RTA. Thus, the traditional view of protecting domestic industries and following an import substitution development agenda, had been replaced by a more liberalized structure that allows for offshoring and reciprocal RTAs. Baldwin (2016) argues that "Because two-way tariff cutting had been the main fuel for the political economy juggernaut of trade liberalization, this unilateralism made multilateral talks less attractive to many developed members whose exporters saw their sales to developed nations boom even as Doha Round staggered from failure to failure".

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Provide a summary of the first ministerial conference of WTO.

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2) What is 'semaphore system'? Briefly discuss.

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3) Enlist the three external reasons behind the failure of WTO negotiations.

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13.6 THE WAY FORWARD

The WTO was founded to establish a world trading system free from any distortion. This was to be achieved through multilateral negotiations, ultimately achieving global free trade. However, as we have already seen, since the inception of the WTO, the negotiations were marred with conflicting interests. Such conflicts led to the deadlocks in all the rounds of negotiations culminating in the practical failure of the Doha rounds. Apart from these conflicts the other reason that has often been projected as the culprit is the unprecedented proliferation of regional trading agreements. Thus, whether regionalism plays the role of "stepping stones" or "stumbling blocks" towards achieving global free trade becomes crucial. In this section, we will focus on this debate and discuss the way forward for multilateralism.

13.6.1 Arguments for Stumbling Blocs

1) RTAs are inherently discriminatory in nature. RTAs lead to benefit the members at the expense of non-members. This is in direct conflict to the notion of multilateralism. In particular, trade diversion (discussed in detail in Unit 14) arising out of an RTA relocates production to an inefficient member from an efficient non-member leading to loss in efficiency. The WTO principles of MFN (most favoured nation) and reciprocity tried to solve this problem. However, violation of MFN leads to weakening of reciprocity.

2) With the advent of "contemporary regionalism", RTAs involve trade and investments. Thus, RTAs have evolved beyond tariff and non-tariff barriers but have transcended into the domain of FDIs. This is particularly significant for small developing countries that went for unilateral liberalization and other reforms to attract FDIs from developed nations. This form of regionalism absorbs resources away from multilateral negotiations creating havoc for multilateral liberalization.

3) One more offshoot of this contemporary regionalism is that large countries prefer to get into bilateral agreements with only those small countries that offer higher profits for them. Rampant advertisement by Gabon of giving unmatched tax benefits to investors is a glaring example. Thus, regionalism trumps multilateralism.

4) Smaller countries having no or negligible market power in the global economy prefer to club together as a single economic entity by forming RTAs among them. Global free trade would erase this market power.

5) RTAs erode the political support for multilateralism. This becomes even more important when develop countries try to impose non-trade issues like intellectual property rights and labour standards during negotiations. For example, emerging economies of India, China and Brazil are strictly opposed to further proliferation of non-trade issues in the WTO.

6) RTAs are likely to increase the adjustment costs associated with multilateral liberalization, thus making multilateralism less desirable.

7) Different countries have different regulatory structures and standards. This also makes multilateral negotiations complicated.

13.6.2 Arguments for Stepping Stones

Before proceeding to analyse the arguments in favour of RTAs are "stepping stones" to multilateralism and finally to Global Free Trade (GFT), we need to examine the theoretical process though which an existing RTA can enlarge itself to a Multilateral structure or GFT. The movement from a multilateral trade negotiation (MTN) to GFT depends on whether the countries involved practice open regionalism or unanimous regionalism. Open regionalism implies that a country can join the RTA without any restrictions. On the other hand, unanimous regionalism means that all the already existing members must agree unanimously for a new country to join an existing RTA. Baldwin (2006) provides a lucid exposition of this process.

To start with, let's assume a country setting unilateral (welfare maximizing optimal) tariffs on its import from the rest of the world and an MTN has been announced. That is, reciprocal trade liberalization among potential member countries is going to be negotiated. It results in an increase in the marginal cost of supplying protection as exporters now lobby the government to reduce tariffs. This changes the whole array of political forces within the country. The exporters lobby would now pitch in to support trade liberalization as that would reduce the price they face in foreign markets making them more competitive. The importers lobby would oppose as they would be facing stronger competition from foreign counterparts. As Baldwin (2006) argues, "the result is that now all nations participating on the basis of reciprocity find it politically optimal to cut tariffs somewhat". This is known as the **Juggernaut** effect. The ultimate decision of joining or not joining depends on the size of the exporters and import-competing industries. If the size of the export group is larger, then the political equilibrium in the economy shifts towards to pro-membership. This process becomes even more relevant when one country joins the MTN. One member's decision to join an MTN leads others to follow as staying outside would become more costly, and the political forces in the non-member countries would further lobby so that the government decides to join the group. This is known as the **Domino** effect. According to the domino theory, the formation of a RTA raises the value of entering a RTA for non-members, and therefore leads to a spate of RTAs in the future (Baldwin, 1995). The Domino effect can then start the process of Juggernaut effect. This will weaken the anti-membership forces and increase the strength of the pro-membership forces. This process will imply that when another round of reciprocal multilateral negotiations is launched, pro-liberalization political pressure will be stronger and anti-liberalization pressure weaker. Hence, RTAs are building blocks for multilateral liberalization.

Having discussed the Juggernaut and Domino effects, we can analyze the arguments in favour of "regionalism acting as a stepping stone to multilateralism".

1) Proliferation of RTAs would lead to further multilateral liberalization. As one RTA is formed, it becomes costlier for the non-members to stay outside the bloc.

2) RTAs act as "laboratories" of international cooperation – economic cooperation can be tested in a small group of countries before extending it to the rest of the world. One country may lack the political support necessary for GFT. However, as it enters an RTA, it may find it easier to pursue GFT though multilateralism.

3) In a world looking like a "spaghetti bowl" of bilateral and multilateral agreements, harmonizing the rules becomes imminent. With modular production structures becoming the order of the day, unified and synchronized rules of origin can only be achieved through multilateral negotiations.

13.7 LET US SUM UP

In this unit we discussed the characteristics, evolution and prospects of multilateral trading system. We start with a brief discussion of the General Agreement on Tariffs and Trade (GATT) and its four phases in order of the chronology of its rounds of negotiations. Next, we moved to the discussions on the Uruguay round stressing on the issues, negotiations, achievements and the birth of the World Trade Organization (WTO). We then analysed the different rounds of the WTO negotiations as they evolved over time. We focused on the issues, conflicts of members over these issues and the changing nature of the negotiations over time. While discussing the WTO rounds we found that deadlocks marred these negotiations; hence, we tried to understand the reasons for the failure of the WTO rounds, particularly the Doha round. In the next section we introduce the debate of whether regionalism acts as a "stepping stone" or "stumbling blocs" to multilateralism. We briefly discussed the arguments in favour of both the sides of this argument and in the process understood the future prospects of multilateralism.

13.8 KEY WORDS

Domino effect	The phenomenon when a non-member country finds it politically optimal to join an existing MTN.
GATT	General Agreement on Tariffs and Trade. An agreement signed by 23 countries to initiate multilateral trade liberalization.

Juggernaut effect	The phenomenon of member countries of an MTN finding it politically optimal to reduce tariffs based on the principle of reciprocity.
Multilateralism	Reciprocal agreements between multiple countries aiming at a common goal freer and fairer trade.
Regionalism	Reciprocal agreements between two or more countries which may or may not belong to the same geographical neighbourhood.
WTO	World Trade Organization. WTO is a supranational organization of 164 member nations that regulates international trade.

13.9 SOME USEFUL REFERENCES

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World Trade Report (2007). WTO. Geneva.

13.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See section 13.2
2) See section 13.3.1
3) See section 13.3.2

Check Your Progress 2

1) See section 13.4.1
2) See section 13.4.2
3) See section 13.5.2

UNIT 14 REGIONAL TRADING AGREEMENTS*

Structure

14.0 OBJECTIVES

After studying this Unit, you should be able to:

- explain the concept of regional trading agreements;
- enlist the basic characteristics of a regional trading agreement;
- explain the different types of regional trading agreements depending on the degree of economic cooperation;
- describe the evolution of regional trading agreements in the world;
- discuss and analyze the various gains countries have after forming/joining a regional trading agreement; and
- justify why regional trading agreements change over time.

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14.1 INTRODUCTION

In this unit we will discuss about Regional Trading Agreements (RTAs). RTAs are reciprocal agreements between two or more countries (or trading partners). Hence, one can easily understand that RTAs can be either bilateral (two members) or multilateral (more than two members). The member countries of an RTA may or may not belong to the same geographical neighbourhood.

In this unit we shall first discuss the basic characteristics of RTAs. Next, we will discuss the different types of RTAs depending on the degree of economic cooperation among the member countries. The next section will briefly discuss the evolution of RTAs in the world economic system. After that we will spend some time understanding the reasons for which countries form RTAs – that is, the gains that the member countries experience due to formation of an RTA among them. The last section would provide a brief discussion on the equilibrium structure of an RTA.

14.2 BASIC CHARACTERISTICS OF REGIONAL TRADING AGREEMENTS

Since 1990s, there has been an unprecedented proliferation of RTAs being reported to the World Trade Organization (WTO). As in March, 2018, there are 304 RTAs being reported in the WTO of which only 53 were in force before 1993. The RTAs in the world trading system consist of a motley assortment of bilateral and multilateral trade agreements. Further, such proliferation of RTAs has been going on simultaneously with the WTO rounds of multilateral negotiations as discussed in the previous unit. However, this might appear counter-intuitive. The primary objective of RTAs is freer trade among member countries coupled with unified trade policies vis-à-vis non-member. Thus, RTAs exhibit a mix of cooperation among members and discrimination against non-members. This directly conflicts with the WTO's ultimate goal of global free trade.

Economic integration is the process of reduction or abolition of tariff and non-tariff trade barriers coupled with unified economic policies, particularly, trade policies. As discussed earlier, RTAs are reciprocal agreements between two or more trading partners that determine the extent of economic integration between the member countries. Thus, RTAs are discriminatory in nature in that member countries of an RTA reduce or eliminate tariff and non-tariff barriers for trade between the member countries but not for countries that are not members of the RTA. Now, the WTO is committed to the goal of global free trade and to the principle of non-discrimination among the WTO member countries. Any WTO signatory country cannot impose higher tariffs for one WTO member country while reducing the same for another. However, RTAs are exception to this principle. Interestingly, all WTO signatories are members of at least one RTA.

This has led to many overlapping memberships, resulting in a "spaghetti bowl" of bilateral and multilateral trade agreements. For example, India has bilateral agreements with Malaysia, Singapore and Thailand while having a separate agreement with the ASEAN.

14.3 TYPES OF REGIONAL TRADING AGREEMENTS

In this section we will first describe the different types of RTAs depending on the degree of economic cooperation among the member countries of an RTA. Jacob Viner (1950) conceived five stages of economic cooperation among member countries. One must note that these stages indicate successively higher degrees of economic cooperation.

14.3.1 Preferential Trading Arrangements

The lowest form of economic cooperation is a Preferential Trading Arrangement (PTA). The members of a PTA lower their respective tariff rates and other non-tariff barriers on their mutual trade. However, the member countries keep the import tariffs and other non-tariff barriers vis-à-vis non-member countries. India has PTAs with Afghanistan, Chile, Nepal and Thailand.

Sometimes the member countries altogether abolish the import tariffs and non-tariff barriers but on a subset of commodities and not on all goods traded among them. This is known as Partial Scope Agreement (PSA). The Belize-Guatemala PSA covers only 150 specified commodities.

PTA is the weakest form of economic cooperation among countries. The member countries take their trade policies vis-à-vis non-member countries unilaterally.

14.3.2 Free Trade Area

The next higher stage of economic cooperation is a Free Trade Area (FTA). The member countries of an FTA remove all tariffs and non-tariff barriers on imports from each other. Each member country retains its independence in establishing trading policies with non-members. In other words, the members of an FTA can maintain individual tariffs and other non-tariff barriers on the rest of the world. This arrangement is usually assumed to apply to all products between member countries, but it can sometime involve a mix of free trade in some goods and preferential, but still protected, treatment in other goods with the idea of abolishing the remaining trade barriers over time.

The most prominent FTAs in the world are the North American Free Trade Area (NAFTA) formed between Canada, Mexico and the USA in 1994 and the Association of South East Asian Nations (ASEAN) formed between Indonesia, Malaysia, the Philippines, Singapore and Thailand on 8th August, 1967 followed by accession of Brunei, Cambodia, Laos, Myanmar and Vietnam between 1984 and 1999. India has FTAs with ASEAN, Bhutan, Japan, Malaysia, SAFTA, Singapore, South Korea and Sri Lanka.

One interesting issue that can arise in the presence of FTAs is that of transshipment. When each member country sets its own external tariff, non-member countries may find it profitable to export a product to the member country with the lowest level of outside protection and then through it to other member countries whose protection levels against the outside world are higher. But without rules of origin by members regarding the source country of a product, there is nothing to preclude non-member countries from using this transshipment strategy to escape some of the trade restrictions in the more highly protected member countries. This has led to formation of FTAs containing rules of origin clauses. Rules of Origin (RoO) are used to determine the country from where a product has originated. There are two types of RoO – preferential and non-preferential. The exact rules vary from country to country and RTA to RTA.

A recent development in FTA is the introduction of Economic Integration Area (EIA) which covers FTAs in Services. Members of the WTO signed General Agreement on Trade in Services (GATS) in 1995, covering the rules for trading in services. FTAs in services allow for lower barriers and agreements on trade in services. India signed an EIA with the ASEAN in 2010.

14.3.3 Customs Union

The third stage of economic cooperation is Customs Union (CU). Apart from free trade among member countries, the members of a Customs Union adopt a common external trade policy toward non-members including, but not limited to, a common external tariff (CET) vis-à-vis the rest of the world. The CET is set either through joint welfare maximization or through delegation. The member nations give up independence in setting national welfare maximizing unilateral tariffs or non-tariff barriers. The group acts as one body in the negotiation of all trade agreements with non-members. Thus, the problem of transshipment, as discussed earlier, does not arise in case of a Customs Union.

BENELUX, established in 1958, is the first CU in the world formed between Belgium, Netherlands and Luxembourg. Recent examples of CUs are the East African Community (EAC) formed between Burundi, Kenya, Rwanda, Tanzania and Uganda in 2000; the Eurasian Economic Union (EAEU) formed between Armenia, Belarus, Kazakhstan, Kyrgyz Republic and the Russian Federation in 2015 and the Gulf Cooperation Council (GCC) formed between Bahrain, Kingdom of Kuwait, the State of Oman, Qatar, Saudi Arabia, and the United Arab Emirates in 2003.

14.3.4 Common Market

The next stage of economic cooperation is Common Market. In this stage apart from free trade of goods among member countries, the countries allow for free movement of factors of production among the members. At this stage the member states move from free trade in goods to free factor trade.

Most prominent examples of Common Markets are Southern Common Market (MERCOSUR) formed between Argentina, Brazil, Paraguay and Uruguay in 1991; Caribbean Community and Common Market (CARICOM) formed between Antigua and Barbuda, Bahamas, Barbados, Belize, Dominica, Grenada, Guyana, Haiti, Jamaica, Montserrat, Saint Kitts and Nevis, Saint Lucia, Saint Vincent and the Grenadines, Suriname and Trinidad and Tobago in 1973 and Common Market for Eastern and Southern Africa (COMESA) formed between Angola, Burundi, Comoros, Egypt, Eritrea, Ethiopia, Kenya, Lesotho, Malawi, Mauritius, Rwanda, Sudan, Swaziland, Tanzania, Uganda, Zambia and Zimbabwe in 1994.

14.3.5 Economic and Monetary Union

The ultimate stage of economic cooperation is an Economic and Monetary Union (EMU). At this stage of economic cooperation, the member countries unify their monetary and fiscal policies. Hence, the degree of economic cooperation moves beyond the domain of international trade and transcends into domestic policy making. These members may or may not have a common currency. The first ever EMU was formed in 1921 between Belgium and Luxembourg. In the present world the most celebrated example of EMU is the European Union (EU) that launched the common currency Euro among the 15 members on 1st January, 1999. Currently 19 out of 28 EU members use Euro as their common currency creating the Eurozone. While separate political entities are still present, an EMU generally establishes several supranational institutions whose decisions are binding upon all members. While this level of economic integration is often aspired to, member countries find it extraordinarily difficult to give up the domestic sovereignty the scheme requires. Giving up autonomy in monetary policy is also a concern.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) What are the characteristics of Regional Trading Agreements?

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2) Enlist various types of RTAs.

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3) Briefly discuss the Free Trade Area as one of the stages of economic cooperation.

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14.4 A BRIEF HISTORY OF EVOLUTION OF REGIONAL TRADING AGREEMENTS

In this section, we will briefly discuss the evolution of RTAs. The post-World War regionalism can be divided into to two distinct phases. The first phase began in the late 1950s and continued till the 1970s. The second phase began with the wave of globalization in the 1990s. As discussed earlier, only 53 out of present day 304 RTAs were in force till 1993.

First Phase: One can assume the beginning of the first phase of regionalism with the formation of the European Coal and Steel Community when the Treaty of Paris was signed by Belgium, France, West Germany, Italy, Luxembourg, and the Netherlands in 1951 followed by the signing of the Treaty of Rome in 1957 leading to the formation of the European Economic Community (EEC) and the European Atomic Energy Commission (Euratom). Thus, the beginning of this phase of regionalism had its root in Europe's push for continental integration. The ultimate objective was the formation "of an integrated market for the free movement of goods, services, capital, and people. The EEC was eventually transformed into the European Union with the Maastricht Treaty in 1993. In 2004, the EU gave accession to Cyprus, the Czech Republic, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia. Following the ECC example, The East African countries of Kenya, Tanzania, and Uganda established the East African Community (EAC) in 1967. The first wave of regionalism was characterized by increase in economic cooperation. National welfare conditions were the most dominant force for regionalism. However, the regionalism in the second phase was driven by economic reasons other than national welfare.

Second Phase: This phase of regionalism started in the late 1980s. Only 53 RTAs were in force till 1993. This number shot up 230 by the end of 2003. This second phase of regionalism has been identified as "Contemporary Regionalism" (Ethier, 2011) as compared to "Traditional Regionalism" of the first phase. In fact, the type of regionalism in the second phase signifies deeper integration. As

Ethier (2011) points out, the trading pattern in this period can be distinguished from the previous period in the following ways –

1) Multilateral liberalization of trade in manufactured goods among industrial nations is more complete than it was.
2) A large number of small countries have abandoned their anti-market, closed economies policies and adopted reforms that will permit them to join the multilateral trading system.
3) Foreign Direct Investment (FDI) is more prominent than it was in the first phase, with small countries undertaking reforms competing for it.
4) There is now much more fragmentation in the production process with different stages of production taking place in different countries, i.e., the world is now much more globalized.

Unlike gains from trade through RTA formation in the first phase, the production gains through FDI and modular production was given higher emphasis in the second phase of regionalism. Ethier (2011) argues that this type of regionalism involves one or more small countries competing with each other in terms of reforms to link up with a large country. A small country undertakes reforms and liberalizes its trade regime whereas modifications by the larger partner are modest. Further, the loss of staying outside an RTA became a significant factor during this phase of regionalism. RTAs now involve not just reduction of tariffs or non-tariff barriers; but also aim at a greater harmonization of broader economic policies. Thus this period witnessed a number of countries, predominantly the developing one, liberalizing unilaterally. India's unilateral liberalization in 1991 is a classic example. Traditionally, RTAs covered tariff liberalization and rules related to standard, quality and rules of origin only. However, in the recent times RTAs have moved to include liberalization of services' trade, investments, intellectual property rights etc.

14.5 GAINS FROM REGIONAL TRADING AGREEMENTS

The gains cannot occur if a country unilaterally reduces tariffs. A country is better off by reducing/abolishing import tariffs and other non-tariff barriers only when the trading partner reciprocates. Gains through forming or joining an RTA are materialized as that ensures a mutual reduction in tariffs and reciprocal market access.

14.5.1 Static Gains

Now, gains from forming an RTA can be static (immediate) or dynamic (over time). Under "Traditional Regionalism" as propounded by Viner (1950), there are primarily three types of static gains.

Trade Creation: Trade creation is the outcome of economic integration that leads to shifting a product's origin from an inefficient domestic producer to an efficient producer located in a member country of the RTA. In other words, a member country will import the goods produced more efficiently in another country. This releases scarce resources in the domestic economy which are reallocated to the production of goods in which the domestic country has comparative advantage.

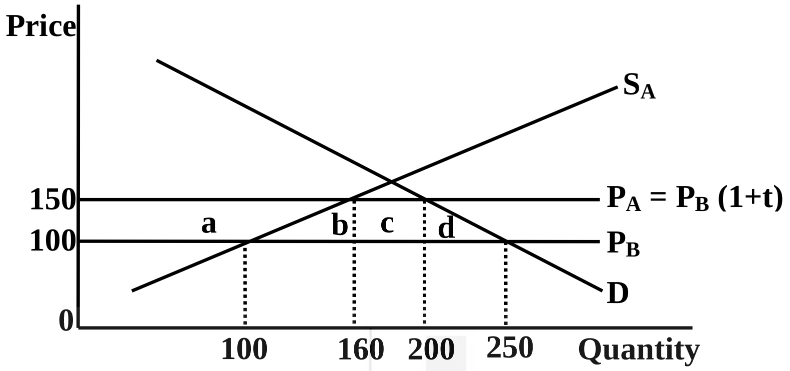

Figure 14.1: Trade Creation

Assume two countries (A and B) forming an RTA between them. Before the economic integration, the price of the good in country A is Rs.150 (Rs. 100 in country B plus the 50% tariff). With integration between A and B, the tariff is removed, and A now imports 150 units (250 - 100) rather than 40 units (200 - 160) from B. 60 units (160 - 100) of the increased imports displace previous home production, and 50 units (250 - 200) reflect the greater consumption at the new Rs. 100 price facing country A's consumers. The net welfare impact is the sum of the triangles "b" and "d", or Rs. $\left[\left(\frac{1}{2} \times 60 \times 50\right) + \left(\frac{1}{2} \times 50 \times 50\right)\right]$ = Rs. 2750. Hence, the result is unambiguously positive. Trade creation results in gains through comparative advantage.

Trade Diversion: Trade diversion happens when the origin of production is shifted from an efficient non-member country to an inefficient member country. The welfare effect of trade diversion is ambiguous. The inefficient exporting member country gains for sure. However, the importing member country's welfare change is ambiguous. Here, we will present a case where the welfare change of the importing member actually decreases.

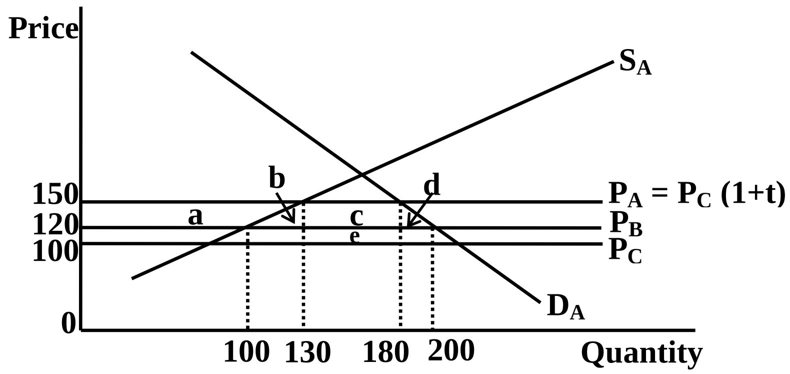

Fig 14.2: Trade Diversion

Assume that two countries (A and B) form an RTA between them. Before the formation of the RTA, A used to impose 50% tariff on its imports. The tariff inclusive price of A's imports from another country C was Rs. 150 and A used to import 50 units (180 – 130) from C. The tariff inclusive price of B's exports to A was Rs. 180 per unit (not shown). Now, after forming an RTA with B, A stops imposing tariff on imports from B but continues to impose tariff on imports from C. Hence, the price at which B exports to A (without tariff) is Rs. 120. At this price A imports 100 units (200 – 100) from B. A's welfare increases by the triangles "b" and "d" (due to lower prices of imports) and decreases by the rectangle "e" (loss of tariff revenue as A charges no tariff now). Hence, net change in welfare of A is = $[(b+d)-e]$ = Rs. $[\left(\frac{1}{2}\times 30\times 30\right)+\left(\frac{1}{2}\times 20\times 30\right)-(50\times 20)]$ = $-$Rs. 250.

Reduction in Smuggling: Another immediate gain that countries forming an RTA would experience is reduction in illegal trade (smuggling). Let's assume that two countries (A and B) form an RTA. Before the formation of the RTA, A used to impose an import tariff of say 50% on its imports from B. Suppose the price of commodity was Rs. 100 in B and, with tariff, Rs. 150 in A. This differences in the price of the same good in two countries can generate illegal trade (smuggling) where any person can buy the good at Rs. 100 per unit in B and illegally sale that good at any price less than Rs. 150 in A (suppose Rs. 135) and making a profit of Rs. 15 per unit by smuggling. Once, A and B form an RTA, the tariff would disappear and the commodity would cost Rs. 100 in both countries. Thus, the possibility of smuggling vanishes.

14.5.2 Dynamic Gains

Apart from these above-mentioned static gains from formation of RTAs, there are several dynamic gains. These gains are not realized immediately, but these gains accrue to the member countries over time. Some of these gains are discussed below –

The establishment of RTAs creates a competitive environment and reduces monopoly powers that might exist before. The export sector can enjoy **economies of scale**. This might happen due to two reasons. First, as RTAs are formed, tariffs are reduced/ abolished. This enables efficient producers located in other member countries to export and the domestic country reallocates its resources to its own export sector and that sector expands. Second, economies of scale might also occur due to lowering of the prices of intermediate goods required for production and thus reducing the marginal cost of production. After an RTA is formed, all the member countries get enlarged market for their produces. Larger markets lead to larger scale production through division of labour which in turn raises **productivity** of labourers. Economic integration reduces transportation and transaction costs. This leads to efficient relocation of resources enhancing **agglomeration** effects. **Environmental** issues can also be tackled more efficiently through formation of RTAs. For example, one country may offer liberalized trade regime to another country in lieu of concrete steps to protect the environment by the government of that country. As we have discussed earlier, "Contemporary Regionalism" stresses on FDI and hence, deeper integration leads to higher degrees of **investments**. Along with FDI, **technology transfers**, also take place.

14.6 EQUILIBRIUM STRUCTURE OF REGIONAL TRADING AGREEMENTS

Regional trade agreements are reciprocal agreements between two or member countries or trading partners that determine the extent of economic integration. RTAs signed between members lead to deeper economic integration between them by lowering tariff and non-tariff barriers and facilitating trade among other gains as discussed earlier. An important characteristic of RTAs is that they are dynamic in nature. In other words, RTAs change in their structure over time. RTAs expand either horizontally (increase the number of members) or vertically (increasing the degree of economic cooperation among existing member countries) or both simultaneously.

14.6.1 Horizontal Expansion

Horizontal expansion (or expansion) of an RTA refers to an increase in the number of members in the RTA. To understand the nuances of this type of change in the structure of an RTA, we first need to understand the basic principle of regionalism followed by RTAs while considering expansion decision.

There are two types of regionalism followed in the world regarding expansion decision of an existing RTA. When any country can join an existing RTA, without requiring the consent of the existing members of that RTA, we call it a case of **Open Regionalism**. That is, the RTA is open to membership to the group. The EU and the USA apparently follows Open Regionalism provided some conditions are satisfied by any potential member *ex ante*. For example, the EU is open to any European nation as long as that potential member satisfies the Copenhagen membership criteria (declared in 1993). The Copenhagen criteria require that any potential member country must have the institutions to preserve democratic governance and human rights, have a functioning market economy and accept the obligations and intent of the European Union. So far the USA is concerned; any country ready to accept the US template FTA will be provided accession as an FTA partner. The template now includes open agriculture markets, intellectual property rights and services. Thus, we can see that, in reality, no country or RTA follows this type of regionalism in practice.

The other type of regionalism requires all the existing member countries of an RTA to agree to giving membership to a potential member country. Now, when a non-member country wants membership of an existing RTA, broadly two things can happen – (1) it is granted accession to the RTA and the initial non-member country becomes a new member of the RTA or (2) it is not offered accession and the non-member remains a non-member. That is, the decision of the initial member countries of the existing RTA plays a crucial role in the expansion decision. This type of regionalism is known as **Unanimous Regionalism**.

As a result, the horizontal expansion of an RTA depends completely on the type of regionalism – open or unanimous – that the RTA follows. Now, as an existing RTA gets bigger and bigger in size (in terms of members), it becomes more costly for the countries outside the RTA and as per Contemporary Regionalism, these non-member countries would abandon their anti-market, closed-economy policies and adopt reforms that will permit them to join the RTA.

The most prominent example of Horizontal expansion is the ASEAN. When the group was formed in 1967, it consisted of Singapore, Malaysia, the Philippines, Thailand and Indonesia. However, it gave accession to five more members – Brunei in 1984, Vietnam in 1995, Laos and Myanmar in 1997 and Cambodia in 1999. Further, Papua New Guinea and East Timor are presently observer nations and backed by a set of ASEAN members for membership in the ASEAN.

14.6.2 Vertical Expansion

Vertical expansion (or consolidation) of an RTA refers to deepening of economic cooperation among existing members of an RTA. Thus, cases like a PTA over time becoming an FTA or an FTA becoming a Customs Union over time are examples of vertical expansion of an RTA.

The most prominent example of vertical expansion is that of NAFTA. NAFTA was established in 1994 and aimed at lowering of tariffs in several product areas. This agreement also aimed at phasing out slowly the cross-borders barriers to trade and investment across the three countries over time. The scope of the products covered under this agreement also increased overtime.

14.6.3 Simultaneous Expansion

This is the case when an existing RTA evolves over time, deepening economic cooperation among member countries and giving accession to new members simultaneously. Thus, one can think of an FTA becoming a Customs Union over time and increasing the number of member countries of the RTA.

The classic example of simultaneous expansion is that of the European Union. The EU not only increased the number of members in the union but also increased the degree of economic cooperation among the union members. As briefly discussed earlier, the history of the European Union can be traced back to the formation of the BENELUX customs union between Belgium, the Netherlands and Luxembourg. This was followed by the formation of the European Coal and Steel Community (ECSC) in 1951 which aimed at eliminating tariffs and quotas in iron ore, coke, coal and steel within the six member nations (Belgium, France, West Germany, Italy, Luxembourg, and the

Netherlands) and imposing a common external tariff on imports of these items from other countries. The countries then consolidated their cooperation further by signing two Treaties of Rome in 1957; one treaty established the European Economic Community (EEC) and the other formed the European Atomic Energy Commission (Euratom) for joint research, cooperation, and management in that field. The formation of the EEC was another leap forward with establishing a Common Market among the member nations. The two treaties went into effect on January 1, 1958, with the earlier Treaty of Paris becoming the constitution of the European Community. The ultimate objective was the formation "of an integrated market for the free movement of goods, services, capital, and people". In 1973, the EEC was enlarged to include Denmark, Ireland, and the United Kingdom. Greece joined in 1981, followed by Portugal and Spain in 1986. Also, the Single European Act was signed in 1986. Eventually in 1993, the European Community was established with the signing of the Maastricht Treaty. This step was intended to expand economic, political and social integration among the members and finally an EMU was formed. In 1995, Austria, Finland, and Sweden joined the EU. On the midnight of 1st January, 1999, the common currency Euro was launched which came into circulation in 2002. In 2004 Cyprus, the Czech Republic, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia and Slovenia joined the European Union followed by Bulgaria and Romania in 2007. In 2013, Croatia became the 28th EU member. Of these 28 members, 19 countries have adopted the Euro as their currency.

14.6.4 Address Game

Now, one more question remains. What would an existing RTA do? Which type of expansion – horizontal, vertical or simultaneous – will it choose? As one can understand, the answer would depend on a number of factors like technology of production, market size, institutional parameters etc.

The equilibrium structure of an RTA can be simply explained using the address game. Let's assume that there are four countries in the world. Each nation can choose from four addresses exogenously given to them. Hence, there are four options possible. Each nation can choose one exclusive address such that each has its own address. Let's depict this situation as {1, 1, 1, 1}. This is the case when no country is in an RTA, all of them are operating individually setting unilateral tariffs and non-tariff barriers on each other's exports. The second option is that two nations choose one common address such that in each address there are two countries. Let's depict this option as {2, 2}. This is the case when there are two RTAs in the world with two countries in each of the RTAs. A third option is three nations choosing one common address while the fourth choosing another. Let's depict this option as {3, 1}. This is the case when three countries form one RTA while the fourth country is a non-member. The last option is when all countries choose the same address and we depict that as {4}. This is the case of global free trade.

Now, let's assign the following pay-offs to the countries under these four options–

Option {1, 1, 1, 1} would yield a pay-off of 10 each such that we have {10, 10, 10, 10}.

Option {2, 2} would yield a pay-off of 13 each such that we have {13, 13}

Option {3, 1} would yield a pay-off of 23 each to the member countries and 3 to the non-member such that we have {23, 3}

Option {4} would yield a pay-off of 20 each such that we have {20}

Now, the above game can be solved either through a simultaneous move game or a sequential move game. In the simultaneous move game, all the four nations take the decision simultaneously. In the sequential move game, one country moves first followed by the second, followed by the third and finally by the fourth country.

Now, it can be easily checked that if the countries move simultaneously, then option {4} with pay-offs {20} each is the unique Nash equilibrium as pay-offs 10 and 13 are strictly less than 20 while, the possibility of getting 3 makes {3, 1} a dominated strategy. Hence, if all the countries in the word simultaneously take a decision of forming an RTA, global free trade would be the Nash Equilibrium outcome.

However, option {3, 1} with pay-offs {23, 3} turns out to be the Sub-game perfect Nash Equilibrium when countries move sequentially. This is intuitively very straight forward. It would be more profitable for any country to accept the offer made by the first mover country as pay-off {13} is larger than pay-off {10}. Thus, in the first stage, one RTA with two members is formed. In the next stage, this RTA would offer accession to the third country and it will again accept as a pay-off {23} is greater than {10} or {13}. However, after an RTA with three members is formed, that RTA will not offer membership to the fourth country as {20} is less a pay-off than {23}. Thus, if we consider unanimous regionalism and a sequential move game, {3, 1} would be the equilibrium structure and the RTA will have three members with the fourth country remaining as a non-member.

Thus, the number of members in an RTA will depend on whether the game is played simultaneously or sequentially and whether the RTA follows open or unanimous regionalism.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Highlight the emergence of RTAs.

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2) Explain the process of Trade Creation.

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3) Briefly discuss the dynamic gains from RTAs.

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4) What is the difference between the horizontal expansion and vertical expansion? Briefly discuss.

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14.7 LET US SUM UP

This unit discusses what Regional Trading Agreements are. We start with describing the basic characteristics of RTAs. In particular, we point out conflict between the aim of the WTO and the rationale of Regionalism. We then discuss the different types of RTAs depending on the different stages of economic cooperation among the member countries followed by a brief discussion on the evolution of RTAs in the world trading system. This unit then proceeds to define the gains to the member countries – static and dynamic – from the formation of RTAs. Finally, we spend some time to understand the dynamic nature of RTAs. Depending on the type of regionalism practiced – open versus unanimous – we find that RTAs may expand either in size (horizontal expansion) or further consolidate economic cooperation among existing members (vertical expansion). At the end, we provide a very simple game to illustrate that formation of multilateral RTAs, depending up on the timing of action by potential RTA members, may or may not culminate in global free trade.

14.8 KEY WORDS

Common Market	An RTA in which the member countries allow for free movement of factors of production among them.
Contemporary Regionalism	The pattern of regionalism that involves one or more small countries competing with each other in terms of reforms to link up with a large country.
Customs Union	An RTA in which the member countries, along with free trade among themselves, adopt a common external trade policy toward non-members.
Economic and Monetary Union	An RTA in which the member countries unify their monetary and fiscal policies.
Economic Integration	The process of reduction or abolition of tariff and non-tariff trade barriers coupled with unified economic policies, particularly, trade policies.
Free Trade Area	An RTA in which the member countries remove all tariffs and non-tariff barriers on imports from each other.
Horizontal Expansion	Expansion of an RTA through increase in the number of members in the RTA.
Open Regionalism	When any country can join an existing RTA, without requiring the consent of the existing members of that RTA.
Preferential Trading Arrangement	An RTA in which the member countries lower their respective tariff rates and other non-tariff barriers on their mutual trade.
Trade Creation	The gain from forming/joining an RTA arising due to shifting of production from inefficient domestic producer to an efficient producer in another member country.
Trade Diversion	When an RTA is formed, production might shift from an efficient non-member to an efficient member country.
Unanimous Regionalism	When a country needs consent from all the members of an existing RTA to join the RTA.

Vertical Expansion — Deepening of economic cooperation among existing members of an RTA.

14.9 SUGGESTED REFERENCES

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14.10 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See section 14.2
2) See section 14.3
3) See sub-section 14.3.2

Check Your Progress 2

1) See Section 14.4
2) See sub-section 14.5.1
3) See sub-section 14.5.2
4) See sub-section 14.6.1 & 14.6.2

UNIT 15 INDIA AND MULTILATERAL TRADING SYSTEM *

Structure

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15.0 OBJECTIVES

After studying this Unit, you should be able to:

- discuss the different RTAs that India has at present;
- elaborate the different multilateral trade agreements that India has at present;
- explain the transformation of India's role over time from GATT to WTO;
- analyze different issues in which India took an active role in the WTO; and
- explain the role that India may play in the WTO in the coming days.

15.1 INTRODUCTION

In Units 13 and 14 we have discussed in detail about Multilateral Trade Negotiations (MTNs) and Regional Trading Agreements (RTAs). In this Unit we will focus our discussions on India's experience in negotiating both RTAs and MTNs. As argued in earlier units 13 and 14, the world looks like a "spaghetti bowl" of regional and multilateral agreements. India's experience is no different. India was a member of the GATT since 8 July 1948 and a founder member of the WTO since 1 January 1995. Moreover, India has been a founder member of the Asia-Pacific Trade Agreement (APTA), the oldest RTA in the Asia-Pacific region. Further, India has bilateral RTAs with a number of countries like Japan, Malaysia, Singapore, South Korea, Australia, UAE along with most of the nations with which India shares its border. Though India doesn't have a direct agreement with China, both these nations are members of the APTA. Thus, one might understand that India's trade relations are beyond geographical neighbourhood – it has RTA with next door neighbor Bhutan on the one hand and with Chile (the distance between the two is more than 16,000 km), on the other.

We will start with a brief discussion on India's different RTAs with other nations. In the next section we would analyze the evolution and major characteristics of each of India's major multilateral relationships. The next section would introduce us to the evolution of India's negotiations in the WTO followed by the issues in which India took active role in the WTO in the next section. Finally, we would spend some time understanding the present initiatives taken by India to resolve the WTO deadlocks.

15.2 INDIA'S TRADE AGREEMENTS: AN OVERVIEW

In this section we discuss the trade agreements negotiated by India so far. Though there has been a massive proliferation of Regional Trading Agreements (RTAs) in the world, India's trade negotiations started only very recently. Except for the Bangkok Agreement of 1975, India started signing RTAs only in 2003with MERCOSUR (Argentina, Brazil, Paraguay and Uruguay) and Afghanistan.

India has entered into several trading arrangements. Some of these RTAS are free trade areas (FTAs), some are FTAs and Economic Integration Agreements (EIAs) whereas others are preferential Scope Agreements (PSAs). The various types of RTAs have been discussed in details in Unit 14. Table 15.1 gives a brief summary of all these agreements.

These agreements have almost all been signed since 2003. While the Bangkok Agreement (BA) had been negotiated in 1975 by 7 developing countries, namely, Bangladesh, India, Cambodia, The Philippines, Republic of Korea, Sri Lanka and Thailand, it had been ratified/implemented by only four countries - India, Bangladesh, Republic of Korea and Sri Lanka. The agreement was energized with the accession of China in 2002. It was renamed as the Asia-Pacific Trade Agreement (APTA) in 2005 and renegotiated in 2006.

Table 15.1: India's Regional Trading Arrangements

RTA Name	Present Members	Date of Entry in to Force
India APTA PSA	Bangladesh, China, India, Lao PDR, Mongolia, South Korea, Sri Lanka	17th June, 1976
India-Sri Lanka FTA	India and Sri Lanka	17th June, 2002
India-Afghanistan PSA	India and Afghanistan	13th May, 2003
SAFTA	Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka	6th January, 2004
India-ASEAN FTA	Cambodia, Brunei Darussalam, India, Indonesia, Lao PDR, Malaysia, Myanmar, Singapore, Thailand, The Philippines and Viet Nam	1st July 2004
India-Thailand PSA	India and Thailand	1st September, 2004
India-Singapore FTA & EIA	India and Singapore	1st August, 2005
India-Chile PSA	India and Chile	17th August, 2007
India-Bhutan FTA	India and Bhutan	30th June, 2008
India-MERCOSUR PSA	India, Argentina, Brazil, Uruguay and Paraguay	1st June, 2009
India-Nepal PSA	India and Nepal	27th October, 2009
India-South Korea FTA & EIA	India and South Korea	1st January, 2010
India-Malaysia FTA & EIA	India and Malaysia	1st July, 2011
India-Japan FTA & EIA	India and Japan	1st August, 2011
India-UAE Comprehensive Economic Partnership Agreement (CEPA)	India and UAE	1st May 2022
India -Australia Economic Cooperation and Trade Agreement (ECTA)	India and Australia	29 December 2022

Source: Adapted from Agarwal and Ghosh (2016)

India's late entry into negotiating RTAs is likely a reflection of India's geographically diversified trade portfolio. Hence, India benefits more from multilateral trade liberalization rather than RTAs. Interestingly, among all the RTAs of India, India's FTAs with ASEAN and SAFTA and PSAs with APTA and MERCOSUR are multilateral negotiations. Presently, RTAs with the Gulf Cooperation Council, Canada, UK, EU and New Zealand are being negotiated. Negotiations with the EU for a Bilateral Trade and Investment Agreement were initiated in 2007 got stalled after 15 rounds of negotiations, the last round being held in 2013. India and the 27-nation bloc resumed negotiations on June 17,2022 year after a gap of over eight years on the proposed agreements on trade, investments and Geographical Indications (GI). The fourth round of talks for a comprehensive free trade agreement concluded in May, 2023 in Brussels, a move aimed at further strengthening economic ties between the two sides. India and the UK have been negotiating an FTA since January, 2022, with a goal towards a comprehensive pact that is expected to significantly enhance the bilateral trading relationship between India and the UK. India is also negotiating on Comprehensive Economic Cooperation Agreements (CECAs) for deeper integration with the ASEAN, Finland, Japan, Korea and Malaysia.

15.3 INDIA'S MULTILATERAL TRADE AGREEMENTS

As discussed in the last section, India has signed a number of multilateral trade agreements since 1975. In this section, we will describe the evolution of each of these negotiations. In particular, we would discuss the ASEAN-India FTA, SAFTA, APTA, India-Mercosur PSA, and GSTP.

15.3.1 Asia-Pacific Trade Agreement (APTA)

The Asia-Pacific Trade Agreement (APTA) is the oldest RTA joined by India. APTA is the oldest preferential trade agreement between countries in the Asia-Pacific region. It was signed by Bangladesh, India, Cambodia, The Philippines, Republic of Korea, Sri Lanka and Thailand as the Bangkok Agreement (BA) in 1975. However, it was ratified only by Bangladesh, India, Republic of Korea and Sri Lanka. The Bangkok Agreement was renamed as the Asia-Pacific Trade Agreement (APTA) on 2ndNovember, 2005 at the First Session of the Ministerial Council of the Bangkok Agreement. The present members of APTA are Bangladesh, China, India, Lao PDR, Mongolia, Republic of Korea and Sri Lanka. China was offered accession into the APTA in 2001. Mongolia is the last nation to be acceded into the APTA in 2013.

APTA was formed to hasten economic development in the participating nations through trade and investment liberalization. The Third Round Tariff Concessions under APTA, which entered into force on 1 September 2006, led to tariff concessions on more than 4,000 items. The Fourth Round of negotiations was launched at the Second session of the Ministerial Council of APTA on 26 October 2007 and was concluded during the 44th Standing Committee meeting held on 24-25 July 2014 in Bangkok, Thailand.

One interesting issue must be mentioned here. India started experiencing huge trade deficits with the APTA since the joining of China in APTA in 2001. India has trade surpluses with Bangladesh, Lao PDR and Sri Lanka and deficits with South Korea and China. In 2014, India's trade deficit with APTA was US$ 41.82 billion while that with China was US$ 44.76 billion!

15.3.2 ASEAN-India Free Trade Area

Indonesia, Malaysia, the Philippines, Singapore and Thailand in 1967 formed the Association of South-East Asian Nations (ASEAN). Five more members, Brunei, Cambodia, Laos, Myanmar and Vietnam, joined the ASEAN by 1999. India signed a historic free trade agreement (FTA) with the ASEAN in August 2009 and the India-ASEAN FTA came into force on 1 January 2010. However, India has a PSA with Thailand since 2004 and FTA&EIAs with Singapore and Malaysia since 2005 and 2011 respectively.

Before the free trade area in goods and services with the ASEAN, India's only south-east Asian connection was with Singapore (2005). Along with the FTA with the ASEAN, India has signed FTA&EIAs with Japan (1stAugust, 2011) and South Korea (on 1 January, 2010), extending its economic cooperation till East Asia.

Since the formation of the India-ASEAN FTA, trade between India and ASEAN countries has increased particularly in thirteen sectors –

i) mineral fuels, oils, and distillation products

ii) organic chemicals

iii) miscellaneous chemical products

iv) plastics and articles thereof

v) rubber and articles thereof

vi) pearls, precious stones, metals, and coins

vii) iron and steel

viii) articles of iron and steel

ix) copper and articles thereof

x) nuclear reactors, boilers, and machinery

xi) electrical, electronic equipment

xii) vehicles other than railway, tramway (transport equipment) and

xiii) Optical, photo, technical, medical apparatus and the like

15.3.3 South Asian Free Trade Area (SAFTA)

The South Asian Free Trade Area (SAFTA) was formed between the seven SAARC (South Asian Association for Regional Cooperation) countries - Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka on 1 January 2006. It was signed during the 12th SAARC summit in Islamabad, Pakistan. Afghanistan joined the bloc in 2011 becoming the eleventh member of SAFTA.As described in Table 15.1, India has separate bilateral FTAs with Bhutan and Sri Lanka and PSAs with Afghanistan and Nepal. Further, India and Bangladesh are having preferential trade agreement since 1975 through the Bangkok Agreement.

The origin of SAFTA can be traced back to the formation of the SAARC Preferential Trading Arrangement (SAPTA) which was signed on 11 April, 1993 in Dhaka, Bangladesh. SAPTA came into force on 7 December, 1995. Initially the negotiations were based on a product-by-product approach. There were four rounds of negotiations. The first round of negotiations was held in 1995 and only 226 products were covered. This round of negotiations didn't cover non-tariff barriers. The second round followed in 1997 with 1800 items and non-tariff barriers were discussed. The third round of negotiations covered 2700 items and some non-tariff barriers were relaxed. The fourth round was suspended due to heightened tensions between India and Pakistan. Talks resumed in 2003 and SAFTA was created in 2006.

SAFTA was formed to replace SAPTA and enhance economic cooperation within the region with a final aim to form a South Asia Economic Union. Though the initial agreement of SAFTA promised zero customs duty on all traded goods within the members, political conflict between India and Pakistan has remained a hurdle in achieving the economic goals.

The aim of SAFTA was straight forward – reduce tariffs and increase trade within the region. The instruments of economic cooperation among SAFTA members included Trade Liberalisation Programme, Rules of Origin, Institutional Arrangements, Consultations and Dispute Settlement Procedures and Safeguard Measures. SAFTA did not include trade in services. This was later covered by the SAARC Agreement on Trade in Services (SATIS) signed in 2010 at the 16th SAARC Summit in April 2010 in Thimphu, Bhutan. SATIS came into force in 29 November 2012.

Since the inception of SAPTA, India is having a trade surplus with the member nations as a whole. Even with individual member nations, the story remains the same, with very few exceptions. After forming the SAFTA, India's trade surplus has increased significantly. India's trade surplus with SAFTA members stood at US$ 0.78 billion in 1993 which increased to US$ 3.93 billion n 2005 and US$ 17.05 billion in 2014

15.3.4 India-MERCOSUR PSA

This is a classic example of economic co-operations beyond the geographical neighbourhood. MERCOSUR was formed between Argentina, Brazil, Paraguay and Uruguay in 1994. Venezuela was suspended from the bloc in 2016. India and MERCOSUR signed a Framework Agreement on 17 June 2003 at Asuncion, Paraguay. The aim of this Framework Agreement was to create conditions and mechanisms for negotiations in the first stage followed by reciprocal tariff preferences and in the second stage and finally to negotiate a FTA conforming to the WTO guidelines. Following this Framework Agreement, a Preferential Trade Agreement (PTA) was signed on 25January, 2004 at New Delhi, India. The major goal of this PTA was to strengthen the economic ties further and increase trade between the member nations through reciprocal tariff reductions. The existing PSA was finally signed on 1 June, 2009.

Under the existing agreement, India has preferential access in the MERCOSUR for organic chemicals, pharmaceuticals, essential oils, plastics & articles, rubber and rubber products, tools and implements, machinery items, electrical machinery and equipment. India has brought down duties in meat products, chemicals, raw hides and skins, leather articles, wool, cotton yarn, glass and glassware, iron and steel, machinery and equipment, optical, photographic and cinematographic apparatus.

Apart from these nations, India has had a PSA with Chile in the Latin American continent since 2007.

India's trade balance with the four MERCOSUR nations (Argentina, Brazil, Paraguay and Uruguay) is determined predominantly by that with Brazil. India registered trade surpluses with Paraguay and Uruguay and deficit with Argentina since 1994. The story with Brazil doesn't exhibit any secular trend. India experienced a booming trade surplus with Brazil during 2005-2008 followed by a sudden and big deficit in 2009 followed by increasing surpluses since 2010.

15.3.5 Global System of Trade Preferences among Developing Countries

The Agreement on the Global System of Trade Preferences among Developing Countries (GSTP) was established on 13 April, 1988 at Belgrade, the present day capital of Serbia and the capital of Socialist Federal Republic of Yugoslavia in 1988. It was negotiated by 48 developing countries that were member of the Group of 77.

GSTP was formed as a preferential trade agreement (PTA)to increase trade between developing countries in the framework of the United Nations Conference on Trade and Development (UNCTAD). Its entry came into force on 19 April 1989 and its notification to the WTO on 25 September 1989.

Bangladesh, Cuba, Ghana, India, Nigeria, Singapore, Sri Lanka, Tanzania, Zimbabwe were the founding members of GSTP, which are still remain as members. GSTP was later expanded with the ratifications by Peru (on 15 April 1989); Mozambique, Myanmar, Nicaragua (on 3 May 1989); Macedonia, Guinea, Guyana (on 4 May, 1989);Mexico (on 13 May 1989); Indonesia, Iran, Iraq, North Korea, South Korea (on 11 June 1989); Pakistan (on 8 July 1989); Morocco (on 13 July 1989); Algeria, Argentina, Benin, Bolivia, Brazil, Cameroon, Chile, Colombia, Ecuador, Egypt (on 16 July 1989); Libya, Malaysia (on 31 August 1989); the Philippines, Sudan, Thailand, Trinidad and Tobago, Tunisia (on 25 August 1989); Venezuela, Vietnam and the trade bloc of MERCOSUR (on 2 November 2006).

The Sao Paulo Round of GSTP, was launched in 2004, with 24 countries participating. At the end of the negotiations, Ministerial Modalities were adopted on 2 December, 2009 wherein it was agreed on a tariff reduction of at least 20% on at least 70% of all dutiable tariff-lines. India unilaterally offered a tariff reduction of 25% on 77% of its tariff lines for Least Developed Countries (LDCs). A Ministerial Meeting of the GSTP Negotiating Committee was held in 2010 in Brazil for signing of the "Final Act Embodying the Results of the Sao Paulo Round" and the "Sao Paulo Round Protocol on the Agreement on GSTP". As of 2014, only 8 countries, including India, signed the protocol.

15.4 INDIA’S OTHER STRATEGIC GROUPS

Along with various multilateral agreements, India is also part of various strategic groups that work towards knowledge sharing, capacity building, strengthening diplomatic engagements among member nations. These groups are of great advantage to India as they help in gathering economic cooperation, gaining a stronger voice in advocating for its interests. Such groups have also helped India in building and strengthening bilateral and multilateral relationships and fostering economic and political ties. By actively participating in these groups, India can advance its economic interests, strengthen its global influence, and contribute to shaping the international economic order. Some of these strategic groups are discussed in this section.

15.4.1 The Group of Twenty (G20)

The Group of Twenty (G20) was founded in 1999 after the Asian financial crisis as a forum for the Finance Ministers and Central Bank Governors to discuss global economic and financial issues. G20 comprises 19 countries (Argentina, Australia, Brazil, Canada, China, France, Germany, India, Indonesia, Italy, Japan, Republic of Korea, Mexico, Russia, Saudi Arabia, South Africa, Turkey, United Kingdom and United States) and the European Union. The G20 members represent around 85% of the global GDP, over 75% of the global trade, and about two-thirds of the world population. In the wake of 2007 financial crisis, G20 was upgraded to the level of Heads of State/Government and was designated the "premier forum for international economic cooperation".

The G20 Summit is held annually, under the leadership of a rotating Presidency. The G20 initially focused largely on broad macroeconomic issues, but it has since expanded its agenda to inter-alia include trade, sustainable development, health, agriculture, energy, environment, climate change, and anti-corruption. The G20 Presidency steers the G20 agenda for one year and hosts the Summit. The Group does not have a permanent secretariat. The Presidency is supported by the Troika – previous, current and incoming Presidency. During India's Presidency, the troika will comprise Indonesia, India and Brazil, respectively.

India holds the Presidency of the G20 from December 1, 2022 to November 30, 2023. The theme of India's G20 Presidency is "Vasudhaiva Kutumbakam" or "One Earth, One Family, One Future" India's G20 priorities are:

- Green Development, Climate Finance & LiFE (Lifestyle for Environment)
- Accelerated, Inclusive & Resilient Growth
- Accelerating progress on SDGs
- Technological Transformation & Digital Public Infrastructure
- Multilateral Institutions for the 21st century
- Women-led development

15.4.2 BRICS

The leaders of BRIC (Brazil, Russia, India, and China) countries met for the first time in St. Petersburg, Russia, on the margins of G8 Outreach Summit in July 2006. Shortly afterwards, in September 2006, the group was formalised as BRIC during the 1st BRIC Foreign Ministers' Meeting, which met on the sidelines of the General Debate of the UN Assembly in New York City. After a series of high level meetings, the 1st BRIC summit was held in Yekaterinburg, Russia on 16 June 2009. BRIC group was renamed as BRICS (Brazil, Russia, India, China, South Africa) after South Africa was accepted as a full member at the BRIC Foreign Ministers' meeting in New York in September 2010. Over a period of time, BRICS countries have come together to deliberate on important issues under the three pillars of political and security, economic and financial and cultural and people to people exchanges. In 2023, South Africa will host the BRICS summit. India has hosted the BRICS summits three times; first in 2012, then in 2016 and 2021.

15.4.3 The Quadrilateral Security Dialogue (QSD)

The Quadrilateral Security Dialogue (QSD), commonly known as the Quad, is an informal strategic security dialogue between Australia, India, Japan and the United States. Since its establishment in 2007, the representatives for the four-member nations have met periodically. The motive behind the Quad is to keep the strategic sea routes in the Indo-Pacific free of any military or political influence. The core objective of the Quad is to secure a rules-based global order, freedom of navigation and a liberal trading system.

Quad partners are working together on the Indo-Pacific's most pressing challenges and priorities, including cooperation on climate, critical and emerging technology, cyber security, infrastructure, regional health security, space, maritime security, counterterrorism, humanitarian assistance and disaster relief. The Quad complements other bilateral, regional and multilateral cooperation in the Indo-Pacific, including with ASEAN and Pacific partners.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Enlist the multilateral agreements which India has signed since 1975.

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2) When was SAFTA created and why?

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3) What is GSTP? Highlight the achievements of Sao Paulo round.

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15.5 A BRIEF HISTORY OF EVOLUTION OF REGIONAL TRADING AGREEMENTS

India joined the GATT on 8 July 1948, soon after the GATT was formed on October 30, 1947. As elaborated in Unit 13, the Quad (the United States, the EU, Canada and Japan) dominated the world economy and they bargained over tariff cuts among themselves and allowed the developing-nations to enjoy the benefits of freer trade. Like other under-developed and developing nations, India was not very active. India enjoyed the benefits of tariff liberalization and other special and differential treatment accorded to developing nations and did not engage in the discussions to a large extent. This continued till the Uruguay Round and India joined the WTO from the day of its existence (1 January, 1995).

Two major outcomes of the Uruguay Round, apart from the formation of the WTO on 1 January, 1995, were the establishment of the General Agreement on Trade in Services (GATS) and the Agreement on Trade-Related Intellectual Property Rights (TRIPS). The GATS was introduced for a freer and fairer trade in services among the WTO signatories. The TRIPS Agreement covers copyright and related rights, trademarks including service marks, geographical indications including appellations of origin, industrial designs and patents.

The idea was that the developing nations would gain from tariff reductions and trade facilitations and from reduction of agricultural subsidies by the developed nations. The sources of gains for the developed nations would be through liberalization of trade in services and TRIPS. So, it would be a win-win situation for both the developed and the developing members of the WTO.

With time, the developing countries like Brazil, China and India became important players in the world economy. Exports of goods and services increased from the developing countries. This resulted in a change of balance of decision-making power in the WTO away from the Quad.

The WTO negotiations were based on the requirement of binding tariff cuts and other policy commitments from all but the poorest members. This led the developing member nations to voice their disagreement in unison during the Doha Rounds. They united to object to the provisions that threatened their domestic interests. Thus, the only North-North negotiations under the GATT were replaced by North-South negotiations under the WTO. The underlying interests were vastly different, making the negotiations way more complicated.

During the Ministerial Conference of Geneva in May 1998, the developing countries, led by India, opposed to the idea of a new round of negotiations before a thorough review of the outcome of the Uruguay Round. In particular, the developing countries voiced their concern against the developed countries' reluctance in implementing the Uruguay Round commitments on agricultural subsidies.

Thus, from a mere bystander during the GATT regime, India transformed into a prominent member instrumental in voicing the concerns of the developing economies during the WTO negotiations.

15.6 INDIA'S CONTRIBUTION IN THE WTO

In this section, we will discuss the major issues in which India has played an active role in the WTO negotiations.

15.6.1 Agriculture

Agriculture has been the most debated issue in the WTO negotiations. Substantial reforms in agriculture markets have been one of the most important agenda since the inception of the Doha Round. The major issues of disagreement, including cuts in overall trade distorting support (OTDS), percentage of products to be declared as sensitive products, tariff rate quota expansion for such products, tariff capping, special products, and the Special Safeguards Mechanism (SSM), have persisted. The developing countries, led by India, have been raising their concern regarding non-adherence to free and fair trade through high agricultural subsidies by the developed nations like the USA. India has remained vocal that this Uruguay Round commitment must be resolved first to take the negotiations further. On the other hand, the developed countries argue that the developing countries, particularly India, have delayed the talks on agriculture. The differences cropped up on two major issues – agricultural subsidies and SSM.

15.6.1.1 Subsidies

India's position in agriculture has been predominantly defensive. Like other developing nations, India seeks to maintain agricultural self-sufficiency. Hence, it has remained reluctant in making concessions that may potentially harm its national interests. At the same time India has been demanding reductions in trade-distorting domestic support from the governments of the developed WTO members, particularly the EU and the USA. The developing countries argue that subsidies maintained and continued by the developed countries amounts to non-adherence to the WTO principle of free and fair trade. Continuous subsidies are instrumental in generating inefficiencies that would raise the global food prices in the long-run. The developed countries tried to bypass that by moving away from blue box subsidies to amber and green box subsidies. India argued that, on the principle of reciprocity, the developed nations can't ask for reduction of tariffs or other restrictions that the developing countries impose to counter the high agricultural subsidies given by the developed nations. Thus, before further negotiations, the developed countries must give up/ reduce agricultural subsidies, which would free agricultural prices from any distortion and then would reflect production costs, and hence, efficiency. Without that happening, the developing countries remain unable to export the commodities in which they have comparative advantage.

15.6.1.2 Special Safeguard Mechanism

The Special Safeguard Mechanism (SSM)would allow developing countries to temporarily raise tariffs beyond current legal limits when import volumes increase or prices fall suddenly. However, how much developing countries would be allowed to raise tariffs beyond current 'bound' levels to protect domestic producers remains the bone of contention. India and China pushed for more flexible terms for the use of the SSM, while the US was firm in its stand for predictable market access for its farm products. Agriculture contributes to almost 16% of India's GDP and 60% of employment. Most of India's agricultural workforce members are subsistence farmers working on very small land holdings (less than 2 acres); many are not even landowners and mere sharecroppers. Moreover, India's agriculture remains vulnerable not only to domestic climatic conditions but also to international prices. Thus, a small increase in agricultural imports could affect the lives of millions. Hence, India argued that SSM is necessary to insulate Indian farmers from the sudden decline in international prices or surge in import volumes of agricultural commodities.

15.6.2 Non-Agricultural Market Access

Non-Agricultural Market Access (NAMA) refers to trade in industrial products. Under NAMA, reduction of tariffs and non-tariff barriers in trade of industrial products such as rubber products, glassware, textiles, etc. have been negotiated in the WTO rounds and ministerial conferences with the Uruguay Round being the most successful one. But peak tariffs continued in a number of goods. Thus, talks under NAMA were taken up during the Doha round of WTO negotiations.The developed countries argued that most tariff cuts in industrial goods should be taken up by the developing countries as tariffs in the developed countries were already very low due to the GATT legacy.

On the other hand, the developing countries, including India, argued that they had the right to maintain above average tariffs under the WTO's Special and Different Treatment provision. As Kathuria (2010) points out, India, along with nine other developing nations proposed the following –

- Developing countries should be provided flexibility in keeping domestically sensitive tariff lines as unbound.
- Elimination of tariffs should not be applicable to them as they need to use tariff as an instrument of industrial policy and as revenue generating source to meet developmental expenditure.
- For using linear formula of tariff reduction, India suggested a coefficient of 0.5 for developed countries and 0.33 for developing countries.
- To tackle high tariff peaks, no bound tariff line shall have a tariff exceeding 3 times the average of all bound tariffs in its tariff schedule. However, some flexibility should be given to developing countries for sensitive tariff lines.
- Implementation period should be 5 years for developed countries and 10 years for developing countries.
- All non ad valorem duties should be converted into ad valorem equivalent, allowing developing countries to retain 3 per cent of their tariff lines with non ad valorem rates.
- Developed countries shall provide Duty Free Quota Free access for all products of LDCs.

15.6.3 Non-trade Related Issues

Starting from the Singapore Issues (elaborated in Unit 13) like investment, government procurement and government policy, India has continuously voiced dissatisfaction over linking non-trade issues in WTO.India has vehemently opposed against linking trade and labour standards. India has also opposed the use of environmental issues as means of protectionism. It has been argued that through these issues the developed countries try to keep the developing countries on their toes and divert their limited resources and time.

15.6.4 Trade Related Aspects of Intellectual Property Rights

The Agreement on Trade Related Aspects of Intellectual Property Rights (TRIPS) was introduced during the Uruguay Round of the GATT. Like all the developing economies, India believed that TRIPS was meant for gains to the developed nations and not for the developing countries. TRIPS mandated the developing countries to reform their IPR regimes so as to synchronize them with those of developed countries over time. As was the case then, most of the existing patents/trademarks/copyrights were held by the developed countries. Thus, strict implementation of TRIPS would render the developing countries incapable of producing a number of commodities in a profitable manner, thus perpetuating the comparative advantage of the developed economies in them. This would lead to unequal exchange between North –South trading partners which would fail the objective of the WTO. Strengthening IPR protection would increase patent holders' monopoly power and result in significant losses, especially in the short run. This would also lead to closure of local firms engaged in production of foreign imitation goods in the developing countries. Moreover, the impact of strict implementation of TRIPS on technology transfer was ambiguous. The few clauses on facilitation of technology transfer that TRIPS contained were vague.

The developing countries were apprehensive about the impact of TRIPS on domestic pharmaceutical industries and, hence, on the health care sector. Taking due cognizance of this, the Doha round accepted that TRIPS should not stop or prevent members in any way from taking measures to protect public health. It also pointed the flexibilities available to members under TRIPS.TRIPS only authorized domestic production under compulsory licensing and not imports from third parties. This would have dealt a severe blow on the health sector of a nation with inadequate manufacturing capacity in the pharmaceutical sector. To fix this issue, the 2001 Declaration called on the TRIPS Council to find an “expeditious solution” to this problem. That solution was agreed to by WTO members and was announced on the eve of the Cancún Ministerial meeting in 2003. The solution given was – the domestic market requirement of compulsory licensing was waived and least developed countries, as well as to those countries that lacked sufficient manufacturing capacity, were permitted to use compulsory licensing to import pharmaceuticals for “HIV/AIDS, malaria, tuberculosis and other epidemics” from third parties (Saggi, 2012).

However, India had to sign the TRIPs in 1994 as not signing TRIPs would have implied India opting out of WTO. By 2005, India had reformed its IPR regime to get it in line TRIPs agreement. In fact, presently, India is an important player in pharmaceutical in the global economy.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Briefly discuss India's transformation from GATT to WTO.

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2) Highlight India's contribution in WTO in relation to agriculture sector.

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3) What is India's contribution in WTO with respect to trade related aspects of Intellectual Property Rights?

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15.7 THE WAY FORWARD

The US backtracked from its commitment to discuss agricultural issues in the 11th Ministerial Conference of the WTO held in Buenos Aires, Argentina during 10-13 December 2017. As discussed earlier, that agriculture has remained a prime concern for India, the talks collapsed. The developed countries pushed for initiating discussions on issues like investment facilitation, gender, micro, small & medium enterprises (MSMEs) and e-commerce which the developing countries opposed. Some developed nations also opposed that India and China no longer deserve special treatment under the 'Special and Differential Treatment' provision.

In the aftermath of the failed negotiations, India held an informal mini Ministerial Conference in New Delhi, India during 19-20 March, 2018.Delegates from almost 52 countries including WTO chairman Roberto Azevedo and trade ministers from seven countries including Afghanistan, Bangladesh, Nepal, Russia, Singapore and South Africa participated. The main aim of the conference was to break the deadlock in negotiations.

This meeting was historical for India and its role in WTO. India had been accused of being obstructionist for India's unflinching stand to protect the interests of the developing nations. With this meeting, India had shed that criticism and had embarked on the role of a facilitator. This was a very important development. Over the last decade or so, India has emerged as a prominent player in the world economic system. Hence, it is imperative that its bargaining power in the WTO would enhance further in the coming days. India’s emerging negotiating capability, coupled with the role of a facilitator would play a pivotal role in the future of the WTO and the multilateral trading system as a whole.

15.8 LET US SUM UP

In this unit, we discussed the characteristics, evolution and future prospects of India’s RTAs and multilateral agreements. We also analysed India's role in the GATT and the WTO so far and the future prospects of India in the multilateral trading system. We started with a brief discussion on the different RTAs that India has with other nations at present. Then we analysed the evolution and major characteristics of each of India’s major multilateral relationships. In the next section we introduced India’s negotiations in the WTO followed by the issues in which India took active role in the WTO. Finally, we discussed present initiatives taken by India to resolve the WTO deadlocks and the possible role that India may play in the multilateral trading system in future.

15.9 KEY WORDS

APTA	The Asia-Pacific Trade Agreement is the oldest RTA joined by India. APTA is the oldest preferential trade agreement between countries in the Asia-Pacific region.
Doha round	The latest and most critical round of WTO negotiation.
GATT	General Agreement on Tariffs and Trade. An agreement signed by 23 countries to initiate multilateral trade liberalization.
GSTP	The Agreement on the Global System of Trade Preferences among Developing Countries was formed as a preferential trade agreement (PTA) with the aim of increasing trade between developing countries in the framework of the UNCTAD in 1988.
Multilateralism	Reciprocal agreements between multiple countries aiming at a common goal, in particular, freer and fairer trade.
NAMA	Non-Agricultural Market Access refers to trade in industrial products.
Regionalism	Reciprocal agreements between two or more countries which may or may not belong to the same geographical neighbourhood.

SAFTA	The South Asian Free Trade Area is an FTA between the seven SAARC countries - Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka.
SSM	The Special Safeguard Mechanism is a tool that would allow developing countries to raise tariffs temporarily beyond current legal limits when import volumes increase or prices fall suddenly.
TRIPS	The Agreement on Trade Related Aspects of Intellectual Property Rights mandated the developing countries to reform their IPR regimes so as to synchronize them with those of developed countries over time.
Uruguay Round	The final round of GATT negotiation that gave birth to WTO.
WTO	World Trade Organization. WTO is a supranational organization of 164 member nations that regulates international trade.

15.10 SOME USEFUL REFERENCES

Agarwal, M. and S. Ghosh (2017). *The Effect of RTAs on India's Trade*. In M. Agarwal, J. Wang and J. Whalley (Eds.) China and India: The International Context and Economic Growth, Manufacturing Performance and Rural Development. Singapore: World Scientific.

Kathuria, M. (2010). *Doha Round of Multilateral Trade Negotiations - Critical Issues in Trade Development pertaining to India*. RBI.

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Saggi, K. (2012). *India at the WTO: From Uruguay to Doha and Beyond*. In C. Ghate (Ed.) Oxford Handbook of the Indian Economy. Oxford University Press.

15.11 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) See Section 15.3
2) See sub-section 15.3.3
3) See sub-section 15.3.5

Check Your Progress 2

1) See Section 15.4
2) See sub-section 15.6.1
3) See sub-section 15.6.4